

Normally, such people exit the gene pool; academic tenure holds them a bit longer.

- * The argument can actually be used to satisfy moral hazard and dishonest (probabilistically disguised) profiteering. Rubin had pocketed more than \$100 million from Citigroup's earning of profits from hidden risks that blow up only occasionally. After he blew up, he had an excuse—"It never happened before." He kept his money; we, the taxpayers, who include schoolteachers and hairdressers, had to bail the company out and pay for the losses. This I call the moral hazard element in paying bonuses to people who are not robust to Black Swans, and who we knew *beforehand* were not robust to the Black Swan. This *beforehand* is what makes me angry.
- * It is indeed the absence of higher order representation—the inability to accept statements like “Is my method for assessing what is right or wrong right or wrong?”—that, we will see in the next section, is central when we deal with probability, that causes Dr. Johns to be suckers for measures and believe in them without doubting their beliefs. They fail to understand the metaprobability, the higher order probability—that is, the probability that the probability they are using may not be True.
- † The nontechnical reader should skip the rest of this section.